

The Germans had the most sophisticated equipment in the world. Yet there they were, defeated by mice.

You can imagine their disbelief. This almost certainly never crossed their minds. What kind of tank designer thinks about mouse protection? Not a reasonable one. And not one who studied tank history.

But these kinds of things happen all the time. You can plan for every risk except the things that are too crazy to cross your mind. And those crazy things can do the most harm, because they happen more often than you think and you have no plan for how to deal with them.

In 2006 Warren Buffett announced a search for his eventual replacement. He said he needed someone “genetically programmed to recognize and avoid serious risks, including those never before encountered.”⁴⁵

I have seen this skill at work with startups my firm, Collaborative Fund, has backed. Ask a founder to list the biggest risks they face, and the usual suspects are mentioned. But beyond the predictable struggles of running a startup, here are a few issues we’ve dealt with among our portfolio companies:

- Water pipes broke, flooding and ruining a company’s office.
- A company’s office was broken into three times.
- A company was kicked out of its manufacturing plant.
- A store was shut down after a customer called the health department because she didn’t like that another customer brought a dog inside.
- A CEO’s email was spoofed in the middle of a fundraise that required all of his attention.
- A founder had a mental breakdown.

Several of these events were existential to the company’s future. But none were foreseeable, because none had previously happened to the CEOs dealing with these problems—or anyone else they knew, for that matter. It was uncharted territory.

Avoiding these kinds of unknown risks is, almost by definition, impossible. You can’t prepare for what you can’t envision.